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UMC Reports First Quarter 2022 Results

12i P3 Singapore expansion plan addresses long term structural demand in 22/28nm

First Quarter 2022 Overview[1]:

- **Revenue: NT$63.42 billion (US$2.22 billion)**
- **Gross margin: 43.4%; Operating margin: 35.2%**
- **Revenue from 22/28nm: 20%**
- **Capacity utilization rate: 100%+**
- **Net income attributable to shareholders of the parent: NT$19.81 billion (US$692 million)**
- **Earnings per share: NT$1.61; earnings per ADS: US$0.281**

Taipei, Taiwan, ROC – April 27, 2022 – United Microelectronics Corporation (NYSE: UMC; TWSE: 2303) ("UMC" or "The Company"), a leading global semiconductor foundry, today announced its consolidated operating results for the first quarter of 2022.

First quarter consolidated revenue was NT$63.42 billion, increasing 7.3% QoQ from NT$59.10 billion in 4Q21. Compared to a year ago, 1Q22 revenue grew 34.7% YoY from NT$47.10 billion in 1Q21. Consolidated gross margin for 1Q22 was 43.4%. Net income attributable to the shareholders of the parent was NT$19.81 billion, with earnings per ordinary share of NT$1.61.

Jason Wang, UMC co-president, said, "We started 2022 with solid first quarter, as strong wafer demand kept our fabs operating at full capacity. Although wafer shipments declined slightly, higher average blended pricing lifted our overall revenue. While we have observed general end-market's tapering of cyclical demand associated with the COVID-19 pandemic, UMC's business continued to be well supported by structural trends that are increasing silicon content in devices and driving new applications. Specialty technologies such as non-volatile memory, power management, RF-SOI, and OLED display drivers are necessary for applications across 5G, AIoT,

[1]Unless otherwise stated, all financial figures discussed in this announcement are prepared in accordance with TIFRSs recognized by Financial Supervisory Commission in the ROC, which is different from IFRSs issued by the International Accounting Standards Board. They represent comparisons among the three-month period ending March 31, 2022, the three-month period ending December 31, 2021, and the equivalent three-month period that ended March 31, 2021. For all 1Q22 results, New Taiwan Dollar (NT$) amounts have been converted into U.S. Dollars at the March 31, 2022 exchange rate of NT$ 28.62 per U.S. Dollar.

and automotive mega-trends, and our strategy to focus on leading specialty technologies has been successful, which now contribute more than half of our wafer revenue. An increasing number of customers are recognizing the value of our customized specialty processes and forming long-term partnerships with UMC."

Co-president Wang said, "Looking ahead, we expect the positive demand outlook will remain unchanged despite some market volatility caused by the pandemic and geopolitical issues. The expansion at our Fab 12A P5 is coming online in the current quarter, which will help us meet excess 28nm demand that we haven't been able to fulfill. We are also actively adding capacity at our overseas bases to support our customers' long-term growth. The announced new fab to be built at our Singapore site, which will address growing 22/28nm demand, has already secured multi-year supply agreements from 2024. We also announced a collaboration with DENSO on the production of power semiconductors at USJC's 300mm fab in order to serve the growing demand in the automotive market. The collaboration demonstrates our strong commitment to supporting our customers amid constraints in the automotive value chain. As part of the industry mega-trends, the accelerating adoption of electric vehicles will serve as a growth catalyst for our automotive business. We are excited to be selected as the foundry partner for many global leading customers as we aim to expand our market share in the fast-growing automotive segment."

Co-president Wang added, "Corporate sustainability has long been a key priority for UMC, and it is now also embedded in our new company vision and mission statements, which was unveiled earlier this year. We were pleased to be chosen from over 7,500 companies for the S&P Global 2022 Sustainability Yearbook released, for which we received the Gold Class Award. The company has ambitious goals when it comes to sustainability, and we will continue prioritizing resources so that we can deliver on our ESG promises."

Summary of Operating Results

Operating Results					
(Amount: NT$ million)	1Q22	4Q21	QoQ % change	1Q21	YoY % change
Operating Revenues	63,423	59,100	7.3	47,097	34.7
Gross Profit	27,504	23,103	19.0	12,494	120.1
Operating Expenses	(6,513)	(6,821)	(4.5)	(5,932)	9.8
Net Other Operating Income and Expenses	1,343	1,334	0.7	1,060	26.8
Operating Income	22,334	17,616	26.8	7,622	193.0
Net Non-Operating Income and Expenses	1,314	558	135.5	3,361	(60.9)
Net Income Attributable to Shareholders of the Parent	19,808	15,949	24.2	10,428	89.9
EPS (NT$ per share)	1.61	1.30		0.85	
(US$ per ADS)	0.281	0.227		0.148	

First quarter operating revenues increased by 7.3% sequentially to NT$63.42 billion which was primarily lifted to higher wafer shipments. Revenue contribution from 40nm and below technologies represented 38% of wafer revenue. Gross profit grew 19.0% QoQ to NT$27.50 billion, or 43.4% of revenue. Operating expenses declined 4.5% to NT$6.51 billion. Net other operating income remained relatively flat at NT$1.34 billion. Net non-operating income was NT$1.31 billion. Net income attributable to shareholders of the parent amounted to NT$19.81 billion.

Earnings per ordinary share for the quarter was NT$1.61. Earnings per ADS was US$0.281. The basic weighted average number of outstanding shares in 1Q22 was 12,283,479,334, compared with 12,254,114,875 shares in 4Q21 and 12,206,292,756 shares in 1Q21. The diluted weighted average number of outstanding shares was 12,534,728,721 in 1Q22, compared with 12,489,949,678 shares in 4Q21 and 12,381,821,873 shares in 1Q21. The fully diluted shares counted on March 31, 2022 were approximately 12,534,729,000.

Detailed Financials Section

Operating revenues increased to NT$63.42 billion. COGS declined slightly to NT$35.92 billion, which included 3.1% sequential decrease in depreciation. Gross profit grew 19.0% QoQ to NT$27.50 billion, reflecting the uptick in ASP. Operating expenses decreased 4.5% QoQ to NT$6.51 billion, as R&D fell 11.2% QoQ to NT$3.03 billion, representing 4.8% of revenue. Net other operating income was NT$1.34 billion. In 1Q22, operating income grew 26.8% QoQ to NT$22.33 billion.

COGS & Expenses

(Amount: NT$ million)	1Q22	4Q21	QoQ % change	1Q21	YoY % change
Operating Revenues	63,423	59,100	7.3	47,097	34.7
COGS	(35,919)	(35,997)	(0.2)	(34,603)	3.8
Depreciation	(9,807)	(10,122)	(3.1)	(10,412)	(5.8)
Other Mfg. Costs	(26,112)	(25,875)	0.9	(24,191)	7.9
Gross Profit	27,504	23,103	19.0	12,494	120.1
Gross Margin (%)	43.4%	39.1%		26.5%	
Operating Expenses	(6,513)	(6,821)	(4.5)	(5,932)	9.8
G&A	(2,226)	(2,164)	2.9	(1,806)	23.3
Sales & Marketing	(1,255)	(1,240)	1.2	(1,089)	15.2
R&D	(3,033)	(3,414)	(11.2)	(3,049)	(0.5)
Expected Credit Impairment Gain (Loss)	1	(3)	-	12	(92.4)
Net Other Operating Income & Expenses	1,343	1,334	0.7	1,060	26.8
Operating Income	22,334	17,616	26.8	7,622	193.0

Net non-operating income in 1Q22 was NT$1.31 billion, primarily reflecting NT$926 million in exchange gain and NT$576 million in net investment gain, offset by a NT$323 million in net interest expense.

Non-Operating Income and Expenses

(Amount: NT$ million)	1Q22	4Q21	1Q21
Non-Operating Income and Expenses	1,314	558	3,361
Net Interest Income and Expenses	(323)	(343)	(272)
Net Investment Gain and Loss	576	2,689	3,530
Exchange Gain and Loss	926	312	93
Other Gain and Loss	135	(2,100)	10

In 1Q22, cash inflow from operating activities was NT$30.12 billion. Cash inflow from investing activities amounted to NT$14.75 billion, which included NT$11.33 billion in capital expenditure, resulting in free cash flow of NT$18.79 billion. Cash outflow from financing reached NT$7.96 billion, primarily from a NT$7.25 billion in redemption of bonds and a NT$0.61 billion repayment in bank loans. Net cash inflow in 1Q22 totaled NT$39.55 billion. Over the next 12 months, the company expects to repay NT$10.77 billion in bank loans.

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Cash Flow Summary

(Amount: NT$ million)	For the 3-Month Period Ended Mar. 31, 2022	For the 3-Month Period Ended Dec. 31, 2021
Cash Flow from Operating Activities	30,118	26,822
Net income before tax	23,648	18,174
Depreciation & Amortization	11,390	11,817
Share of loss (profit) of associates and joint ventures	1,858	(2,491)
Income tax paid	(769)	(222)
Changes in working capital & others	(6,009)	(456)
Cash Flow from Investing Activities	14,752	(13,339)
Acquisition of PP&E	(10,803)	(14,707)
Acquisition of intangible assets	(421)	(100)
Decrease in other financial assets	26,315	1,589
Others	(339)	(121)
Cash Flow from Financing Activities	(7,959)	6,367
Bank loans	(612)	(1,359)
Bonds Issued	-	5,000
Redemption of bonds	(7,249)	-
Increase in deposits-in	70	2,896
Others	(168)	(170)
Effect of Exchange Rate	2,637	(333)
Net Cash Flow	39,548	19,517
Beginning balance	132,622	113,105
Ending balance	172,170	132,622

Cash and cash equivalents increased to NT$172.17 billion. Days of inventory increased by 2 days to 61 days.

Current Assets			
(Amount: NT$ billion)	1Q22	4Q21	1Q21
Cash and Cash Equivalents	172.17	132.62	107.29
Notes & Accounts Receivable	38.05	35.19	29.24
Days Sales Outstanding	53	53	55
Inventories, net	25.40	23.01	22.23
Days of Inventory	61	59	59
Total Current Assets	249.68	233.27	179.08

Current liabilities decreased to NT$93.12 billion, which included a redemption of bonds lowering short-term credit/bonds to NT$22.58 billion. Long-term credit/bonds increased to NT$50.07 billion. Total liabilities decreased to NT$180.62 billion, leading to a debt to equity ratio of 60%.

Liabilities			
(Amount: NT$ billion)	1Q22	4Q21	1Q21
Total Current Liabilities	93.12	105.45	78.53
Notes & Accounts Payable	9.06	8.36	8.26
Short-Term Credit / Bonds	22.58	39.26	37.28
Payables on Equipment	7.63	7.88	5.29
Other	53.85	49.95	27.70
Long-Term Credit / Bonds	50.07	39.83	27.70
Long-Term Investment Liabilities	8.59	8.25	20.66
Total Liabilities	180.62	183.22	144.59
Debt to Equity	60%	65%	58%

Analysis of Revenue[2]

Revenue from Asia-Pacific decreased to 64% while business from North America increased to 22% of sales. Business from Europe was 8% while contribution from Japan remained at 6%.

Revenue Breakdown by Region

Region	1Q22	4Q21	3Q21	2Q21	1Q21
North America	22%	21%	22%	22%	23%
Asia Pacific	64%	66%	65%	63%	63%
Europe	8%	7%	7%	8%	8%
Japan	6%	6%	6%	7%	6%

Revenue contribution from 22/28nm amounted to 20% of the wafer revenue, while 40nm contribution stayed at 18% of sales.

Revenue Breakdown by Geometry

Geometry	1Q22	4Q21	3Q21	2Q21	1Q21
14nm and below	0%	0%	0%	0%	0%
14nm<x<=28nm	20%	20%	19%	20%	20%
28nm<x<=40nm	18%	18%	18%	18%	20%
40nm<x<=65nm	19%	19%	19%	19%	18%
65nm<x<=90nm	8%	8%	8%	9%	8%
90nm<x<=0.13um	12%	12%	12%	11%	11%
0.13um<x<=0.18um	13%	13%	13%	13%	13%
0.18um<x<=0.35um	7%	7%	8%	8%	8%
0.5um and above	3%	3%	3%	2%	2%

Revenue from fabless customers accounted for 87% of revenue.

Revenue Breakdown by Customer Type

Customer Type	1Q22	4Q21	3Q21	2Q21	1Q21
Fabless	87%	86%	86%	84%	86%
IDM	13%	14%	14%	16%	14%

Revenue from the communication segment represented 45%, while business from computer applications stayed at 17%. Business from consumer applications remained at 26% as other segments accounted for 12% of revenue.

Revenue Breakdown by Application (1)

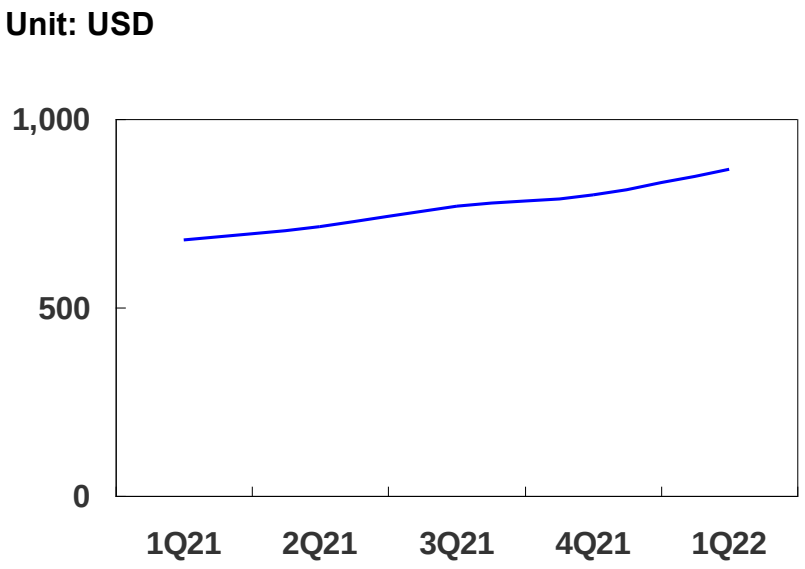
Application	1Q22	4Q21	3Q21	2Q21	1Q21
Computer	17%	17%	17%	17%	16%
Communication	45%	46%	46%	47%	46%
Consumer	26%	26%	27%	26%	27%
Others	12%	11%	10%	10%	11%

(1) ***Computer*** consists of ICs such as CPU, GPU, HDD controllers, DVD/CD-RW control ICs, PC chipset, audio codec, keyboard controller, monitor scaler, USB, I/O chipset, WLAN. ***Communication*** consists of handset components, broadband, bluetooth, Ethernet, LAN, DSP, etc. ***Consumer*** consists of ICs used for DVD players, DTV, STB, MP3/MP4, flash controller, game consoles, DSC, smart cards, toys, etc.

[2] Revenue in this section represents wafer sales

Blended ASP Trend

Blended average selling price (ASP) grew in 1Q22.



Shipment and Utilization Rate[3]

Wafer shipments declined 1.3% QoQ to 2,513K in the first quarter, while quarterly capacity grew to 2,420K. Overall utilization rate in 1Q22 exceeded 100%.

Wafer Shipments

	1Q22	4Q21	3Q21	2Q21	1Q21
Wafer Shipments (8" K equivalents)	2,513	2,546	2,503	2,440	2,372

Quarterly Capacity Utilization Rate

	1Q22	4Q21	3Q21	2Q21	1Q21
Utilization Rate	100%+	100%+	100%+	100%+	100%
Total Capacity (8" K equivalents)	2,420	2,419	2,383	2,370	2,280

[3] Utilization Rate = Quarterly Wafer Out / Quarterly Capacity

Capacity[4]

Overall capacity in the first quarter remained at 2,420K 8-inch equivalent wafers. Capacity will grow in the second quarter of 2022 to 2,528K 8-inch equivalent wafers, driven by the 28nm capacity expansion taking place at 12A P5.

Annual Capacity in *thousands of wafers*

FAB		Geometry (um)	2021	2020	2019	2018
WTK	6"	5 – 0.15	329	371	370	396
8A	8"	3 – 0.11	755	802	825	825
8C	8"	0.35 – 0.11	459	452	436	383
8D	8"	0.18 – 0.09	380	371	359	347
8E	8"	0.6 – 0.14	457	449	426	418
8F	8"	0.18 – 0.11	514	485	434	431
8S	8"	0.18 – 0.11	408	373	372	372
8N	8"	0.5 – 0.11	917	917	831	771
12A	12"	0.13 – 0.014	1,070	1,044	997	997
12i	12"	0.13 – 0.040	641	628	595	555
12X	12"	0.080 – 0.022	284	217	203	183
12M	12"	0.13 – 0.040	395	391	98	-
Total[(1)]			9,453	9,188	8,148	7,673
YoY Growth Rate			3%	13%	6%	5%

Quarterly Capacity in *thousands of wafers*

FAB	2Q22E	1Q22	4Q21	3Q21
WTK	84	82	81	80
8A	192	189	190	190
8C	115	113	115	115
8D	103	101	95	95
8E	118	116	115	115
8F	138	136	137	137
8S	111	109	102	102
8N	235	231	232	230
12A	301	267	271	271
12i	164	162	164	160
12X	78	77	78	74
12M	110	108	104	98
Total	**2,528**	**2,420**	**2,419**	**2,383**

(1) One 6-inch wafer is converted into 0.5625 ($6^2/8^2$) 8-inch equivalent wafer; one 12-inch wafer is converted into 2.25 ($12^2/8^2$) 8-inch equivalent wafers. Total capacity figures are expressed in 8-inch equivalent wafers.

CAPEX

CAPEX spending in 1Q22 amounted to US$405 million. 2022 cash-based CAPEX budget will be US$3.6 billion.

Capital Expenditure by Year - in US$ billion

Year	2021	2020	2019	2018	2017
CAPEX	$ 1.8	$ 1.0	$ 0.6	$ 0.7	$ 1.4

2022 CAPEX Plan

8"	12"	Total
10%	90%	US$3.6 billion

[4] Estimated capacity numbers are based on *calculated maximum output* rather than *designed capacity*. The actual capacity numbers may differ depending upon equipment delivery schedules, pace of migration to more advanced process technologies, and other factors affecting production ramp-up.

Second Quarter 2022 Outlook & Guidance

Quarter-over-Quarter Guidance:

- Wafer Shipments: To increase by 4-5%
- ASP in USD: To increase by 3-4%
- Gross Profit Margin: To be approximately 45%
- Capacity Utilization: 100%
- 2022 CAPEX: US$3.6 billion

Recent Developments / Announcements

Feb. 9, 2022	UMC awarded Gold Class in S&P Global Sustainability Yearbook
Feb. 24, 2022	UMC announces new 22nm wafer fab in Singapore
Feb. 24, 2022	UMC Board of Directors announces proposals for its annual shareholders meeting
Apr. 26, 2022	DENSO and USJC collaborate on automotive power semiconductors

Please visit UMC's website for further details regarding the above announcements

Conference Call / Webcast Announcement

Wednesday, April 27, 2022

Time: 5:00 PM (Taipei) / 5:00 AM (New York) / 10:00 AM (London)

Dial-in numbers and Access Codes:

USA Toll Free:	1-866 836-0101
Taiwan Number:	02-2192-8016
Other Areas:	+886-2-2192-8016

Access Code: UMC

A live webcast and replay of the 1Q22 results announcement will be available at www.umc.com under the “Investors / Events” section.

About UMC

UMC (NYSE: UMC, TWSE: 2303) is a leading global semiconductor foundry. The company provides high quality IC production with a focus on both logic and specialty technologies to serve every major sector of the electronics industry. UMC’s comprehensive technology and manufacturing solutions include logic/RF, embedded high voltage, embedded flash, RFSOI/BCD and IATF-16949 automotive manufacturing certification for all its manufacturing facilities. UMC operates 12 fabs that are strategically located throughout Asia with a maximum capacity of approximately 800,000 8-inch equivalent wafers per month. The company employs approximately 20,000 people worldwide, with offices in Taiwan, China, United States, Europe, Japan, Korea and Singapore. For more information, please visit: http://www.umc.com.

Safe Harbor Statements

This press release contains forward-looking statements within the meaning of Section 27A of the United States Securities Act of 1933, as amended, and Section 21E of the United States Securities Exchange Act of 1934, as amended, and as defined in the United States Private Securities Litigation Reform Act of 1995. These forward-looking statements include, but are not limited to, statements regarding anticipated financial results for the first quarter of 2022; the expected wafer shipment and ASP; the anticipated annual budget; capex strategies; environmental protection goals and water management strategies; impact of foreign currency exchange rates; expected foundry capacities; the ability to obtain new business opportunities; and information under the heading "First Quarter of 2022 Outlook and Guidance."

These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual performance, financial condition or results of operations of UMC to be materially different from what is stated or may be implied in such forward-looking statements. Investors are cautioned that actual events and results could differ materially from those statements as a result of a number of factors including, but not limited to: (i) dependence upon the frequent introduction of new services and technologies based on the latest developments in the industry in which UMC operates; (ii) the intensely competitive semiconductor, communications, consumer electronics and computer industries and markets; (iii) the risks associated with international business activities; (iv) dependence upon key personnel; (v) general economic and political conditions; (vi) possible disruptions in commercial activities caused by natural and human-induced events and disasters, including natural disasters, terrorist activity, armed conflict and highly contagious diseases; (vii) reduced end-user purchases relative to expectations and orders; and (viii) fluctuations in foreign currency exchange rates. Further information regarding these and other risk factors is included in UMC's filings with the United States Securities and Exchange Commission, including its Annual Report on Form 20-F. All information provided in this release is as of the date of this release and are based on assumptions that UMC believes to be reasonable as of this date, and UMC does not undertake any obligation to update any forward-looking statement as a result of new information, future events or otherwise, except as required under applicable law.

The financial statements included in this release are prepared and published in accordance with Taiwan International Financial Reporting Standards, or TIFRSs, recognized by the Financial Supervisory Commission in the ROC, which is different from International Financial Reporting Standards, or IFRSs, issued by the International Accounting Standards Board. Investors are cautioned that there may be significant differences between TIFRSs and IFRSs. In addition, TIFRSs and IFRSs differ in certain significant respects from generally accepted accounting principles in the ROC and generally accepted accounting principles in the United States.

- FINANCIAL TABLES TO FOLLOW -